

A Fundamental Strength

Abby Joseph Cohen

It took little more than seven weeks for the Dow Jones Industrial Average to reach 6,500 after passing through the psychological 6,000 barrier on October 4. During that time, pessimists have become ever louder in their predictions of an imminent end to Wall Street's bull run, which has now lasted six years.

Yet I believe that recent gains have been well supported by fundamental developments in the US economy and among America's leading companies. Far from representing warnings of the end of the bull market, they look set to continue for some time to come.

US share prices typically move in a staircase pattern. Substantial price increases (and declines) are telescoped into short periods of time and are then followed by an extended trading range in which share price indices are choppy but trendless. Investors sit back to contemplate the market's action and await future news on the economy and corporate performance. There are movements between sectors at such times as investors gradually construct the most likely scenario for the coming months.

I believe the catalysts for future market activity are largely positive. Principal among them will be moderate eco-